

BROKEN WING BUTTERFLY

ADVANCED COMPLETE RULEBOOK

Strategy Creation • Strike Selection Rules • Decision Trees
Trade Management • Adjustment Framework • Risk Control
Greeks Management • Expiry Tactics • Advanced Setups
Entry Checklist • Common Mistakes • Golden Rules

INSTRUMENT	EXPIRY	NET POSITION	THETA	POP	MARGIN
Nifty / BankNifty	5–15 DTE	Net Credit	Positive	55–70%+	Low

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01 — WHAT IS A BROKEN WING BUTTERFLY?

A **Broken Wing Butterfly (BWB)** is an asymmetrical multi-leg options strategy derived from the standard butterfly. One wing (hedge) is intentionally placed farther from the center short strike, creating a **directional bias**, reducing hedge cost, and generating a **net credit entry**. This asymmetry transforms a neutral position into a high-probability directional trade with defined risk.

Anatomy of a BWB

LEG	NAME	ACTION	LOTS	PURPOSE
Leg 1	Broken Wing (Wide)	BUY	1	Far OTM hedge — reduced cost, creates credit
Leg 2	Body / Center	SELL	2	ATM/near-ATM — maximum theta income source
Leg 3	Safe Wing (Tight)	BUY	1	Closer hedge — caps max loss on bias side

Standard Butterfly vs Broken Wing Butterfly

FEATURE	STANDARD BUTTERFLY	BROKEN WING BUTTERFLY
Wing symmetry	Equal both sides	One side wider
Directional bias	None — purely neutral	Built-in directional edge
POP	12–30%	55–70%+
Entry cost	Net Debit (usually)	Net Credit (preferred)
Theta	Positive near center	Strongly Positive
Margin required	Moderate	Low
Profit zone	Narrow — near pin	Wide — entire directional side
Max loss	Symmetric both sides	Defined — only on wide-wing side
Best for	Flat / pinning market	Slight trend + range market

02 — TYPES & STRUCTURES

TYPE	MARKET VIEW	INSTRUMENT	STRUCTURE EXAMPLE	WING RATIO
Bullish Put BWB	Slight Bullish	Put Options	Buy 17300P Sell 2x17500P Buy 17600P	200 / 100
Bearish Call BWB	Slight Bearish	Call Options	Buy 17700C Sell 2x17500C Buy 17400C	200 / 100
Mild Bullish Put BWB	Mildly Bullish	Put Options	Buy 17350P Sell 2x17500P Buy 17600P	150 / 100
Aggressive Bull BWB	Strong Bullish	Put Options	Buy 17200P Sell 2x17500P Buy 17600P	300 / 100
Aggressive Bear BWB	Strong Bearish	Call Options	Buy 17800C Sell 2x17500C Buy 17400C	300 / 100
Neutral+Slight Bull	Neutral bias up	Put Options	Buy 17400P Sell 2x17550P Buy 17650P	150 / 100

Wing Ratio Quality Guide

WING RATIO (Wide/Tight)	BIAS STRENGTH	CREDIT RECEIVED	BEST USE CASE
100 / 100	Neutral	Zero / Tiny	Standard butterfly only — not BWB
150 / 100	Mild	Small credit	Slight directional lean, first-time BWB traders
200 / 100	Good	Moderate credit	Most BWB trades — IDEAL RATIO for beginners
250 / 100	Strong	Good credit	Strong directional conviction + good support/resistance
300 / 100	Aggressive	High credit	Expert level — high conviction trades only

03 — STEP-BY-STEP CREATION

01	Determine Market Bias Ask: Is market bullish, bearish, or neutral with slight direction? → Bullish = Put BWB (sell puts) Bearish = Call BWB (sell calls) Never enter without a confirmed bias. No bias = no trade.
02	Identify Key Price Zone Use: Support/Resistance, VWAP, Demand-Supply zones, Weekly pivot, Liquidity levels. Goal: Place the center short strike near the expected holding area at expiry.
03	Select Correct Expiry Ideal: 5–15 DTE (Days To Expiry) — weekly expiry preferred. Avoid: 0DTE (gamma too dangerous) >30 DTE (theta too slow). Best entry: Monday or Tuesday of expiry week.
04	Choose Short Strike (Center Body) Rules: ATM or slightly OTM in direction of bias. Highest OI zone. Best theta. Bullish Put BWB: Sell puts slightly below spot. Action: SELL 2 lots at this strike.
05	Select Safe Wing (Tight Side) Width: 50–100 points from center for Nifty; 100–200 for BankNifty. Purpose: This caps maximum loss if market moves hard into bias direction. Action: BUY 1 lot here.
06	Break the Opposite Wing (Wide Side) Move this hedge farther than the safe wing. Standard: 150–200 points from center Aggressive: 250–300 points. Effect: Reduces hedge cost → creates net credit → expands profit zone on bias side. Action: BUY 1 lot here.
07	Verify Net Credit & POP Must confirm: Net Credit received (never pay debit for BWB). Target POP: > 55%. If POP < 55%, widen the broken wing or adjust center strike. Check max loss vs credit: Max loss = Wing width – Credit received.
08	Set Breakevens & Alerts Calculate both breakeven points BEFORE entering. Set price alerts at each breakeven on your trading terminal. Know your: Max Profit zone Max Loss zone T+0 line shape.

Live Example — Bullish Put BWB on Nifty

LEG	ACTION	STRIKE	PREMIUM	LOTS	ROLE
Leg 1	BUY	17300 PE	■134	1	Wide Wing — Broken Side
Leg 2	SELL	17500 PE	■220	2	Center Body — Max Theta
Leg 3	BUY	17600 PE	■170	1	Tight Wing — Safe Side

METRIC	FORMULA	VALUE
Net Credit	$(2 \times 220) - 134 - 170$	■136 per lot
Max Profit	Wing Width + Credit	≈■2,136 (near center at expiry)
Max Loss (wide side)	Wide Wing – Credit	≈■1,864 (below 17300)
POP	Market above lower BE	~67%
Lower Breakeven	$17500 - \text{Max Profit}/100$	≈17,480 (approx)
Upper Breakeven	17600 (safe wing caps loss)	17,600 PE

04 — STRIKE SELECTION RULES

A. Short Strike (Center) — The Most Important Decision

CRITERION	RULE	REASON
Location	ATM or 1–2 strikes OTM in bias direction	Maximum theta decay zone
Delta	Put BWB: delta ~0.40–0.50 Call BWB: same	Highest time value, fastest decay
Open Interest	Choose highest OI strike available	Liquidity — easier entry & exit
IV Rank	Enter when IV $\geq$ 20th percentile	Higher IV = more credit collected
Distance from spot	Nifty: 0–50 pts BankNifty: 0–100 pts	Keep it relevant — not too far OTM
Market structure	Short strike must be near key support/resistance	Fundamental zone = higher pinning probability

B. Wing Selection Rules

WING TYPE	BULLISH PUT BWB	BEARISH CALL BWB	WIDTH
Safe Wing (Tight)	Upper Put (above center)	Lower Call (below center)	50–100 pts Nifty 100–150 pts BNF
Broken Wing (Wide)	Lower Put (below center)	Upper Call (above center)	150–300 pts Nifty 250–400 pts BNF

C. IV & Greeks at Entry

GREEK / METRIC	IDEAL AT ENTRY	AVOID IF
IV Rank	20–80 percentile	IV Rank > 90 (event risk)
Net Delta	Small positive (bullish BWB) Small negative (bearish)	Large directional delta at entry
Net Theta	Positive — minimum $\blacksquare$ 50/day per lot	Near-zero theta
Net Vega	Slightly negative (benefits from IV crush)	Large positive vega (IV spike = big loss)
Net Gamma	Small negative — manageable	Large negative gamma near expiry

05 — ENTRY RULES & MARKET FILTERS

A. Market Condition Filter

MARKET CONDITION	SUITABLE?	BWB TYPE	NOTES
Slight Bullish — grinding up	✓ IDEAL	Put BWB	Best scenario — theta + direction work together
Slight Bearish — grinding down	✓ IDEAL	Call BWB	Sell calls, bias direction works for you
Neutral — very tight range	✓ GOOD	Either	Theta decay works — small bias helps
IV Crush expected (post-event)	✓ EXCELLENT	Both	BWB benefits from vega collapse + theta
Moderate range with support	✓ OK	Either	Enter carefully — monitor closely
High Volatility Expansion	✗ AVOID	—	Vega expands losses dangerously fast
Event Day (CPI/RBI/FOMC)	✗ AVOID	—	Gamma explosion possible — stay out
Gap-and-go trending day	✗ AVOID	—	No range = no theta income, max loss risk
VIX spiking > 20% in session	✗ AVOID	—	Exit existing + don't enter new

B. Best Entry Timing Rules

TIMING RULE	SPECIFICATION
Day of week	Monday or Tuesday of expiry week (best theta/DTE balance)
Time of day	9:30–10:30 AM or 2:00–3:00 PM (after initial volatility settles)
DTE window	5–15 DTE — sweet spot for theta without gamma explosion risk
Market session	After opening range is established (first 30 min avoided)
Global cues	Check SGX Nifty / Dow Futures before entering
IV check	Check India VIX — avoid entering if VIX > 18 on entry day

06 — DECISION TREE: ENTRY

Follow this decision tree in order before entering ANY Broken Wing Butterfly trade. Every question must be answered YES before proceeding. A single NO = wait or skip.

STEP	QUESTION	YES →	NO →
1	Do I have a clear directional bias (bullish or bearish)?	Proceed to Step 2	STOP — no trade without bias
2	Is there a clear support/resistance level identified?	Proceed to Step 3	Mark chart levels. Come back tomorrow.
3	Is DTE between 5–15? (Weekly expiry preferred?)	Proceed to Step 4	Wait for correct DTE window.
4	Is there NO major event in next 24 hours?	Proceed to Step 5	SKIP — no BWB around events.
5	Is IV normal / not spiking? (VIX < 18 preferred)	Proceed to Step 6	Wait for IV to normalize.
6	Is short strike at ATM or high-OI zone near support?	Proceed to Step 7	Adjust center strike selection.
7	Is the broken wing side wider than safe wing?	Proceed to Step 8	Reconfigure wing distances.
8	Is the position a NET CREDIT?	Proceed to Step 9	Widen broken wing further.
9	Is POP > 55%?	Proceed to Step 10	Revisit structure — do not force.
10	Are breakeven levels noted and alerts set?	ENTER THE TRADE ✓	Set alerts first, then enter.

07 — DECISION TREE: TRADE MANAGEMENT (3 SCENARIOS)

After entry, the market will do one of three things. Each scenario has a specific management protocol. Follow the matching path — do not mix them.

■ SCENARIO A — MARKET MOVES IN YOUR FAVOR

CONDITION	ACTION
Market grinding in bias direction	Hold — theta and delta both working for you
Profit hits 20–30%	Hold — let theta decay continue
Profit hits 30–50% within 1–2 days	Book 30–40% of position partially
Profit hits 50–70%	Book majority (50–60%) — lock in gains
Price approaches center strike zone	Book aggressively — near max profit area
Want to remove remaining risk?	Convert BWB → Normal Butterfly (restore symmetry)
Near expiry with market at center	Close all legs — gamma risk not worth remaining theta

■ SCENARIO B — MARKET STAYS SIDEWAYS

CONDITION	ACTION
Market ranging near center strike	BEST CASE — do nothing, let theta decay work
DTE reduces to 5–7	Start tightening risk exposure
T+0 line flat, slight loss visible	Add additional identical BWB at lower cost
Need extra income from range	Sell far OTM options at 10–15 delta for theta
Market stagnant for many days	Evaluate rolling to next expiry week
DTE < 3, position near breakeven	Close and take small loss — gamma too risky

■ SCENARIO C — MARKET MOVES AGAINST YOU

CONDITION	ACTION
Price moving toward wide wing BE	FIRST: Roll profitable short strikes toward current price
T+0 line threatening loss territory	SECOND: Convert to flatter structure — reduce delta
15-min candle CLOSES beyond breakeven	ADJUST IMMEDIATELY — no waiting
Loss reaches ~50% of max loss	THIRD: Sell far OTM 10–15 delta options for recovery
Loss reaches 2% of account value	HARD STOP — close entire position, no exceptions
Strong trending day confirmed	Reduce size by 50%, hedge with directional option

08 — GREEKS MANAGEMENT

Understanding and managing the Greeks is essential for BWB traders. Each Greek tells you something specific about your position's behavior.

GREEK	WHAT IT MEANS FOR BWB	IDEAL RANGE	ACTION IF OUT OF RANGE
Delta (Δ)	Directional exposure. Positive delta = benefits from bullish move.	+0.05 to +0.20 (Bullish Put BWB)	Too high: Sell OTM calls to reduce. Too low: Adjust center strike.
Theta (Θ)	Time decay income. Most important Greek for BWB. Must be positive.	> ■50/day per lot	Below target: Adjust short strike closer to ATM. Widen broken wing.
Vega (V)	IV sensitivity. Negative vega = benefits when IV drops (IV crush).	Slightly negative (-0.1 to -0.5)	Large negative vega: Reduce size before events. Add hedges.
Gamma (Γ)	Rate of delta change. Dangerous near expiry. Must be controlled.	Small negative (manageable)	Large negative gamma < 3 DTE: Reduce size or close immediately.
Rho (ρ)	Interest rate sensitivity. Generally negligible for short-term BWB.	Ignore for < 30 DTE	Not applicable for weekly trades.

Greeks Monitoring Schedule

DTE REMAINING	CHECK FREQUENCY	FOCUS GREEK	KEY ACTION
10–15 DTE	Once daily	Theta + Delta	Ensure theta is working; delta within range
5–10 DTE	Twice daily	Theta + Gamma	Watch gamma building; start partial booking
3–5 DTE	Hourly	Gamma + Delta	Gamma danger zone; reduce size; book aggressively
< 3 DTE	Every 15 min	Gamma (CRITICAL)	Close most / all — expiry gamma unpredictable

09 — ADJUSTMENT FRAMEWORK

Adjustments are the most important skill in BWB trading. A well-adjusted position is the difference between a loss and a profit. Follow these rules rigorously.

A. When to Adjust

TRIGGER	CONDITION	URGENCY
Breakeven breach	15-min candle CLOSES beyond breakeven price	IMMEDIATE
Delta overexposed	Net delta exceeds 0.25 per lot	SAME SESSION
Gamma spike	< 3 DTE with large gamma; position near max loss	IMMEDIATE
IV spike > 15% in session	VIX moves > 15% intraday	REDUCE SIZE NOW
Max profit zone approached	Price near center strike with profit	BEGIN BOOKING
50% of max loss hit	MTM loss = 50% of calculated max loss	ADJUST OR CLOSE

B. How to Adjust — Core Techniques

TECHNIQUE	HOW TO EXECUTE	USE WHEN
Roll Short Strikes	Buy back profitable shorts at lower price. Re-sell at new strike closer to current price.	Market moved against position; shorts now profitable
Convert to Normal Butterfly	Buy back wide broken wing. Buy standard-distance wing instead. Restores symmetry.	Market moved in favor; want to lock in profit zone
Add Second BWB	Add another identical BWB at current market price. Flattens T+0 line.	Sideways market; need to cover more range
Sell Far OTM Recovery	Sell OTM options at 10–15 delta. Use proceeds to offset current loss.	Market moved against; need to generate credit
Strip/Reduce Size	Close partial position (1 of 2 spreads). Reduces risk proportionally.	Position too large; IV spiking; event risk
Wing Buyback	Buy back cheap broken wing early. Removes tail risk if wing no longer needed.	Broken wing has very low value; remove risk cheaply

C. Adjustment Limits & Rules

Maximum adjustments per day: 2 — third adjustment = emotional trading, exit instead

Cost of adjustment must be < 30% of original credit received Otherwise position is not worth saving

Each adjustment must have a clear thesis: Know WHY you're adjusting, not just reacting

Never adjust in the last 30 min of session: Low liquidity, wide spreads — wait for next day

Document every adjustment: Strike, premium, reason. Review weekly for improvement

10 — PROFIT BOOKING RULES

PROFIT LEVEL	DTE REMAINING	ACTION	AMOUNT TO BOOK
10–20%	10+ DTE	HOLD — wait	0%
20–30%	7–10 DTE	Hold — theta still working	0–10%
30–50%	5–7 DTE	Partial book — begin scaling	30–40%
50–70%	3–5 DTE	Aggressive booking	50–60%
70%+	Any	Exit majority — risk not justified	70–100%
Near max profit zone	< 3 DTE	CLOSE ALL — gamma danger	100%
Any profit level	Expiry day AM	Reduce all to 25% size minimum	75%+

Profit Booking Philosophy

- Rule 1:** Never wait for 100% profit. The last 30% takes 70% of the risk.
- Rule 2:** Systematic partial booking > holding for jackpot.
- Rule 3:** A 50% win booked consistently beats a 100% win hit 30% of the time.
- Rule 4:** Reduce size near max profit zone — gamma works against you here.
- Rule 5:** On expiry day, close by 2:30 PM unless pin is very clear.

11 — EXPIRY DAY TACTICS

Expiry day is the most dangerous day for any BWB position. Gamma becomes extremely large near ATM strikes. A ± 50 move can swing your P&L; dramatically. Follow these protocols strictly.

A. Expiry Day Schedule

TIME	ACTION	REASON
9:15–9:30 AM	Check position P&L.; Do NOT enter new BWB.	Opening range is volatile — no new trades
9:30–11:00 AM	Monitor closely. Book if profit > 50%.	Gamma building rapidly — take profits early
11:00 AM–1:00 PM	If profitable: book 50–70% of position.	Most safe window — reduce while ahead
1:00–2:30 PM	Book remaining if market near center.	Final safe exit window — gamma accelerates
2:30–3:30 PM	CLOSE ALL remaining legs. No holding to expiry.	Gamma spike in final hour is unpredictable

B. Pin Risk Management

Pin Risk = When spot price is exactly at your short strike at expiry. This creates maximum uncertainty in final minutes.

Rule 1: If market is within 20 pts of short strike by 2 PM — close BOTH short legs.

Rule 2: Never hold a 2-lot short into final 30 minutes if ITM/ATM.

Rule 3: Keep bought wings — they provide free protection if pin breaks.

Rule 4: Accept a small loss/smaller profit rather than risk expiry assignment.

C. Expiry Scenarios

MARKET AT EXPIRY	POSITION STATUS	ACTION
Far above safe wing (bullish BWB)	Max profit on broken wing side	Let expire OR close for near-max credit
Between center and safe wing	Partial profit	Close by 2:30 PM — take profit
Exactly at center strike	PIN RISK — maximum uncertainty	Close short legs by 2 PM. Keep wings.
Between center and broken wing	Loss territory	Close all by 1 PM — cut loss
Below broken wing (bullish BWB)	MAX LOSS	Should have stopped out earlier — close all

12 — ADVANCED SETUPS & TECHNIQUES

A. Rolling BWB to Next Expiry

When to Roll: Position is near expiry with small loss or small profit but view still intact.

How to Roll:

Step 1: Close all legs of current expiry at market.

Step 2: Open new BWB on next week's expiry at same or adjusted strikes.

Step 3: Adjust strikes based on updated market view.

Roll Cost Rule: Net roll cost must be < 25% of original credit. Otherwise — accept loss.

B. Layering Multiple BWBs

LAYER	EXPIRY	CENTER STRIKE	PURPOSE
Layer 1	Current week	Near spot	Primary position — main theta income
Layer 2	Next week	Slightly adjusted	Secondary hedge — wider range coverage
Layer 3	Same week (different strike)	Support level	Recovery layer — added if market dips

Warning: Never run more than 3 active BWB layers simultaneously. Complexity increases faster than profits.

C. OTM Recovery Technique (Selling Far OTM Options)

STEP	ACTION	DETAIL
1	Identify loss amount to recover	E.g.: ■3,000 MTM loss
2	Calculate credit needed from OTM sell	Need ■3,000 over 3 days = ■1,000/day
3	Find 10–15 delta OTM option	Far enough from spot — low gamma risk
4	Calculate lot size needed	■1,000 ÷ premium per lot = lots required
5	Sell that many lots — track separately	Never sell more than 5x original BWB lots
6	Buy back if market approaches that strike	Cut recovery trade if it starts losing

D. Credit vs Debit BWB Comparison

FEATURE	NET CREDIT BWB	NET DEBIT BWB
Entry premium	Receive credit — you get paid	Pay debit — you pay upfront
Probability of Profit	Higher (55–70%+)	Lower (35–50%)
Theta	Strongly positive	Slightly positive
Psychological edge	Better — free money at entry	Harder — paying for hope
Best market	Any with slight direction	Strong directional conviction

FEATURE	NET CREDIT BWB	NET DEBIT BWB
Recommendation	ALWAYS PREFERRED	Expert use only

13 — RISK MANAGEMENT RULES

RULE	PARAMETER	VALUE	REASON
Capital per trade	Max allocation	3–5% of capital	Prevents single trade from destroying account
Account risk limit	Max loss per trade	1–2% of account	Survive losing streaks — 50 losses still survivable
Daily loss limit	Stop trading if hit	3% of account	Emotional protection — stop after bad day
Weekly loss limit	Review if hit	5% of account	Review strategy if hit weekly limit
Max concurrent trades	Open BWB positions	2–3 maximum	Correlated risk — all lose in same move
Adjustment limit	Per day per position	2 max	Over-adjusting destroys edge and adds cost
Lot scaling rule	Recovery OTM sells	5x max of shorts	Never create unlimited risk while hedging
Net delta cap	Per lot	$ \Delta < 0.25$	Prevents position becoming a directional bet
Expiry day size	Reduce to	25% of original	Gamma danger zone — protect gains

Position Sizing Formula

Step 1: Account capital = ■5,00,000

Step 2: Risk per trade = 2% = ■10,000

Step 3: Max loss per lot of BWB = ■3,500 (calculated from structure)

Step 4: Lots = ■10,000 ÷ ■3,500 = 2.8 → Round DOWN to 2 lots

Rule: Always round DOWN — never round up on position sizing.

14 — COMMON MISTAKES & FIXES

MISTAKE	CONSEQUENCE	FIX
Entering on event days	Gamma and vega explode. Your ■500 max loss becomes ■5,000 instantly.	Never enter BWB on CPI, RBI, FOMC, earnings days. Wait for next session.
Wings too wide without conviction	Large max loss that overwhelms any credit received.	Max broken wing = 300 pts Nifty / 500 pts BNF. Always verify max loss first.
No directional bias	Random trade with no edge. Pure luck — not strategy.	If you can't explain why the market will stay above/below a level, don't trade.
Over-adjusting emotionally	Commission cost accumulates. Structure becomes complex. Losses compound.	Maximum 2 adjustments per day. Each must have a written reason.
Holding into expiry blindly	Gamma near expiry causes violent swings. Small positions become large losses.	Close all by 2:30 PM on expiry. Never hold 2-lot short naked into final hour.
Wrong lot ratio (not 1:2:1)	Creates undefined risk. One side can move to unlimited loss.	Always verify structure is 1 buy : 2 sell : 1 buy before entering.
Selling ATM options for loss recovery	ATM has highest gamma. Recovery attempt creates bigger potential loss.	Only sell 10–15 delta OTM options for recovery. Never ATM.
Ignoring T+0 line	Not knowing current P&L; for each market level = blind trading.	Always check T+0 line on option simulator before and during trade.
Entering debit BWB without strong conviction	Debit BWB has lower POP. Paying premium reduces edge significantly.	Default to net credit BWB. Use debit only with very high conviction + favorable risk:reward.
Not setting breakeven alerts	Missing the adjustment trigger point = unnecessary loss.	Set price alerts at BOTH breakevens immediately after entry. No exceptions.

15 — ENTRY CHECKLIST (PRINT & USE DAILY)

All items must be confirmed BEFORE entering any BWB. A single unchecked box = no trade.

BIAS	
CHECKLIST ITEM	✓
Market direction confirmed (bullish OR bearish)?	☐
View based on chart analysis (support/resistance/VWAP)?	☐
Not entering just because IV is high?	☐
STRUCTURE	
CHECKLIST ITEM	✓
DTE between 5–15 days?	☐
Short strike at ATM / high OI zone near key level?	☐
Broken wing side is WIDER than safe wing?	☐
Lot ratio is exactly 1:2:1?	☐
Position is NET CREDIT (confirmed in platform)?	☐
RISK	
CHECKLIST ITEM	✓
POP > 55% confirmed?	☐
Max loss calculated and within 2% account risk?	☐
Both breakeven levels noted?	☐
Price alerts set at both breakevens?	☐
No major event in next 24 hours?	☐
VIX / India VIX not spiking?	☐
MANAGEMENT	
CHECKLIST ITEM	✓
Adjustment plan ready for all 3 scenarios?	☐
Profit target % decided (30%? 50%? 70%)?	☐
Hard stop loss level decided?	☐

16 — GOLDEN RULES

These 10 rules are non-negotiable. They represent the distilled wisdom of BWB trading. Violating even one will cost you money consistently.

01	BWB is a PROBABILITY strategy — not prediction. Your edge comes from repetition across 20+ trades, not from calling direction perfectly.
02	Theta is your PRIMARY income engine. Protect time value above all else. Every day you hold, theta works for you. Don't disrupt it.
03	The broken wing creates your directional advantage. Choose the wide side carefully based on real market analysis — not hope.
04	NEVER wait for maximum profit. The final 30% profit requires 70% of the risk. Book at 50–70% systematically.
05	Net Credit entry is non-negotiable for most trades. Receiving credit at entry gives psychological edge and immediate positive theta.
06	Risk control matters more than strike selection. A perfect entry with bad risk management loses. A mediocre entry with great management wins.
07	Adjustment quality determines total profitability. The best BWB traders win not on entry skill but on adjustment discipline.
08	Small consistent wins compound faster than jackpot hunting. 5–10% monthly returns compounded beat one 50% win followed by 30% loss.
09	Know your breakevens BEFORE entering. Always. No excuses. Set alerts. If you don't know them, you don't know your position.
10	2 adjustments per day maximum. Third = emotional. Exit instead. Over-adjusting destroys your structure, adds commission, and signals panic.

Learn more on Glasp: <https://glasp.co/reader?url=https://www.youtube.com/watch?v=xZsjAmpEpLg>

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